

better stabilize spending. For instance, with a 5 percent real return, the sustainable spending rate is 12.3 percent over ten years and 5.2 percent over fifty years.

To provide context, the level return required to duplicate spending supported by the traditional 4 percent rule can also be found in Exhibit 2.8: it uses a spending horizon of thirty years and allows wealth to be depleted at the end of the horizon. With these circumstances, a 1 percent fixed-return supports a 3.8 percent spending rate, and a 2 percent fixed return supports a 4.4 percent spending rate. We can therefore understand that the level real compounded return that supports the 4 percent rule fell somewhere between 1 and 2 percent. This aligns with what we found earlier using the PMT formula: the 4 percent spending rate matches a real investment return of 1.3 percent.

Exhibit 2.8

Sustainable Spending Rates for Different Planning Horizons and Investment Returns

Objective: Deplete All Assets at End of Planning Horizon